Personal Finance Basics for Students

Introduction to Personal Finance

Personal finance is the management of your money: how you earn, spend, save, invest, borrow and protect it. Learning basic money skills early helps students avoid debt, handle emergencies, achieve goals such as education, travel or a first bike, and build wealth for the future. Financial literacy is not about being rich; it is about making informed decisions with whatever money you have. The key habits are budgeting, saving regularly, spending wisely, investing for the long term, using credit carefully and protecting yourself with insurance. In India, the National Centre for Financial Education (NCFE) promotes financial literacy for students and the public.

Income, Expenses and Budgeting

A budget is a plan that tells your money where to go. You list your income, such as pocket money, stipend or salary, and your expenses, and make sure that spending is lower than income. Expenses can be fixed, such as rent, fees and subscriptions, or variable, such as food, transport and entertainment. Tracking spending with a notebook, a spreadsheet or an app reveals hidden leaks, such as frequent food delivery or small online purchases. The basic equation is simple: income minus savings equals the amount you can spend.

What Is the 50-30-20 Budgeting Rule?

The 50-30-20 rule is a simple budgeting guideline which suggests dividing your after-tax income into three parts: 50 percent for needs, 30 percent for wants and 20 percent for savings and debt repayment. Needs are essential expenses such as rent, groceries, utilities, transport, insurance and minimum loan payments. Wants are non-essentials such as dining out, movies, gadgets, travel and subscriptions. The remaining 20 percent goes to savings, investments and extra payments to clear debts. The rule was popularised by United States Senator Elizabeth Warren and her daughter Amelia Warren Tyagi in their 2005 book "All Your Worth". For example, if a student or young professional earns Rs. 20,000 a month, the rule suggests Rs. 10,000 for needs, Rs. 6,000 for wants and Rs. 4,000 for savings. The percentages can be adjusted to individual circumstances, and a student with little income might begin by saving even 10 percent. The key idea is to pay yourself first by moving savings out as soon as the money arrives.

What Is Compound Interest?

Compound interest is interest earned on both the original amount of money (the principal) and on the interest that has already been added. It is often described as "interest on interest". Simple interest, by contrast, is calculated only on the principal. The formula for compound interest is A = P x (1 + r/n) raised to the power nt, where P is the principal, r is the annual interest rate, n is the number of times interest is compounded each year and t is the number of years. For example, if you invest Rs. 10,000 at 8 percent interest compounded annually for 10 years, you will have about Rs. 21,589, while with simple interest you would only get Rs. 18,000. The extra Rs. 3,589 is the effect of compounding. The longer the time, the stronger the effect: the same amount grows to about Rs. 46,610 in 20 years and to about Rs. 1,00,627 in 30 years. A handy shortcut is the Rule of 72: divide 72 by the interest rate to estimate the years needed to double your money; at 8 percent, it takes about 9 years. Compounding works against you too, when you carry credit card debt, which can charge interest of 36 to 42 percent a year. Albert Einstein is often credited with calling compound interest the eighth wonder of the world, but there is no proof that he said it.

Why Start Saving Early?

Starting early gives money more time to compound, so a small amount saved at 20 can be worth more than a large amount saved at 40. Consider an illustration, which assumes a return of 12 percent a year and is not a guarantee. If a person invests Rs. 5,000 every month for 30 years, the total invested is Rs. 18 lakh, and it could grow to about Rs. 1.76 crore. If another person invests the same Rs. 5,000 a month for only 20 years, the total invested is Rs. 12 lakh and it grows to about Rs. 50 lakh. The extra ten years triples the final corpus. Starting early also builds good money habits, allows one to take more risk in equity investments, makes it easy to handle emergencies, and reduces the monthly amount needed to reach a goal. Delay is costly.

Saving and Investing Options in India

A savings account gives low interest, about 2.5 to 4 percent, and easy access to funds. A Fixed Deposit (FD) and Recurring Deposit (RD) in banks or post offices give fixed returns. The Public Provident Fund (PPF), with a 15-year lock-in and tax benefits, and the Sukanya Samriddhi Yojana for girl children are government-backed schemes. Mutual funds pool money from many investors to invest in shares or bonds, and a Systematic Investment Plan (SIP) allows investing a small fixed amount every month, starting from Rs. 100 to Rs. 500 in many funds. Direct shares, gold, the National Pension System (NPS) and real estate are other options. Higher return investments carry higher risk. Diversification means not putting all the money in one place.

Emergency Fund, Credit and Insurance

An emergency fund, equal to three to six months of expenses, kept in a safe, easily accessible place, covers job loss, illness or urgent repairs. Credit means borrowing. A credit score, such as the CIBIL score, ranges from 300 to 900, and a score above 750 is generally good; it depends on paying bills and EMIs on time, not using too much of the credit limit, and the length of credit history. Students should avoid unnecessary loans, avoid the minimum-due trap on credit cards, and be wary of "buy now pay later" offers and instant loan apps. Health insurance and term life insurance (for those with dependants) protect against large losses. Never share your OTP or PIN, and beware of get-rich-quick schemes and fake investment offers.

Practical Steps for Students

Open a bank account, track expenses for a month, set savings goals, start a small SIP or recurring deposit, build a small emergency fund, learn about taxes and the PAN card, avoid unnecessary debt, use UPI responsibly and keep learning about money from trusted sources such as the SEBI investor website and RBI's financial literacy material.

Challenges and Future

Challenges include peer pressure, online shopping temptation and scams. Financial education in schools, fintech apps and digital investing platforms are making it easier. This document is educational and not personal financial advice.

Quick Facts

- The 50-30-20 rule splits income into 50 percent needs, 30 percent wants and 20 percent savings and debt repayment.
- Compound interest is interest earned on both principal and previously earned interest.
- Rs. 10,000 at 8 percent compounded for 10 years grows to about Rs. 21,589.
- Starting early gives more time for compounding to work.
- The Rule of 72 estimates doubling time: 72 divided by the interest rate.